



\$311.5
million
the average size of M and A
deals, globally, in 2013

Another company acquiring

Companies may want to expand by joining with another business.



Merger

The company combines with another company. *See pp.42–43.*



Acquisition

Horizontal The company buys another company that makes similar products.



Vertical The company buys another company that makes different products.

See pp.46–47.

SIZING UP M AND A'S

Measuring a big deal

The corporate world categorizes acquisition deals according to the capitalization size (the value of the company's shares).



Small Under \$500 million



Mid-market \$500 million to \$2 billion



Large \$2 billion to \$10 billion



Megadeal Above \$10 billion

Due diligence

Before any company sale, the potential buyers see a detailed report prepared by lawyers, covering key aspects of the target business.



› **Financial** Identifies problem areas that could affect the future value of the company.



› **Legal** Gauges possible legal risks attached to corporate status, assets, securities, intellectual property, and employee reshuffling.



› **Commercial** Includes industry trends, market environment, the company's capabilities, and the competition.



› **Environmental** Uncovers potential liabilities such as land or water contamination and estimates remediation costs.